The burden of my argument both in the public domain as well as internally to the government was that the Reserve Bank was running a tight monetary policy not because it did not care for growth but because it *did* care for growth. But the government remained unpersuaded or chose to be unpersuaded.

In order to defend his position vis-à-vis the Reserve Bank and possibly to sound a conciliatory note, in a media conference in July 2013, Chidambaram had generalized this divide between governments and central banks by saying that 'governments are for growth and central banks are for price stability'. This stereotyping was misinformed not only with reference to India but even from a broader experience.

In fact, no central bank in the world, not even an inflation-targeting central bank is, or indeed can afford to be, insensitive to growth concerns. Take the case of the Bank of England which is statutorily mandated to target inflation. If the BoE fails to deliver on the inflation target, it is required by law to write to the chancellor of the exchequer explaining the reason for its failure. Given this strict discipline, you'd think that the BoE would prioritize inflation management over all else if only to avoid the stigma of having to explain its failure to the government. Not so. Even the BoE takes cognizance of growth and employment concerns in its policy calculus as evidenced by this excerpt from an explanatory letter dated January 2008 from the governor of the BoE to the chancellor: 'If the Bank rate was set to bring inflation back to the [2 per cent] target, there would be unnecessary volatility [that is fall] in output and employment.'

The issue is more straightforward in the case of the US Federal Reserve. It cannot focus exclusively on inflation as it has, by law, a twin mandate, requiring it to balance price stability with maximum employment. Take the case of Japan which went through a high-decibel debate on the mandate of the Bank of Japan in January 2013 shortly after Prime Minister Shinzo Abe had returned to office. Given the quagmire of deflation that Japan had sunk into, we would have thought that the government would mandate the BoJ to raise inflation to the target level to the exclusion of all other concerns. But even in the midst of such compelling circumstances, the BoJ was required,